IN THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH- V

CA (CAA) 20/230-232/ND/2022

IN THE MATTER OF:

Sections 230-232 of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

AND

IN THE MATTER OF SCHEME OF AMALGAMATION

AMONGST

VINCO METALS PRIVATE LIMITED
HAVING REGISTERED OFFICE AT:
7A/39, (11- first floor), WEA
Channa Market,
Karol Bagh, New Delhi- 110005

.....Applicant No. 1/Transferor Company

WITH

BON LON PRIVATE LIMITED
HAVING REGISTERED OFFICE AT:
6b/10, N E A, Old Rajinder Nagar,
Delhi- 110060

.....Applicant No. 2/ Transferee Company

ORDER DELIVERED ON: 21.04.2022

CORAM:

MR. ABNI RANJAN KUMAR SINHA, HON'BLE MEMBER (JUDICIAL)

MR. HEMANT KUMAR SARANGI, HON'BLE MEMBER (TECHNICAL)

For Applicants:- Adv. Alok Kumar Kucchal

ORDER

PER: MR. ABNI RANJAN KUMAR SINHA, MEMBER (Judicial)

1. This is an application filled by the Applicant Companies under Section 230 to 232 of the Companies Act, 2013 (for brevity "The Act") read with Companies (Compromises, Arrangements and Amalgamation) Rule, 2016 (for brevity "The Rules") in relation to the Scheme of Amalgamation (for brevity the "The Scheme") proposed between the Applicant Companies. In terms of Sections 230 and 232 of the Act, the following prayers have been made for orders:-

> *a. Dispensing with the requirement for convening the meetings of the equity shareholders of the Applicant Nos. 1 and 2 and also to dispense with the requirement of issue and publication of notices for the same.*
>
> *b. Dispensing with the requirement for convening the meeting of unsecured creditors of Applicant No.2 and also to dispense with the requirement of issue and publication of notices for the same:*
>
> *c. Issuing necessary directions for permitting the filing of application, petition. and other documents as may be required, for the purpose of sanctioning the proposed scheme of amalgamation between Applicant Nos. I & 2 and their respective shareholders.*
>
> *d. Passing such other and further orders as are deemed necessary in the facts and circumstances of the case.*

2. That affidavits (@page 23-28 of the Application) in support of the application sworn for and on behalf of the Applicant Companies have been filed by Mr. Arun Kumar Jain being the authorized signatory.

3. That vide affidavits dated 21.01.2022 (@page 29-34 of the Application, it is submitted that the Scheme does not contemplate any corporate debt restructuring exercise as contemplated under Section 230(2) of the Act. It is further submitted that in terms of Section 230(2)(b) of the Act, Scheme does not envisage reduction of share capital of the

Transferee Company and no inspection, inquiry or investigation is pending against any of the Applicant Companies.

4. That it is submitted that the proposed amalgamation is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013 and the same if sanctioned by this Tribunal the appointed date as provided in the Scheme of amalgamation (@page 165-197 of the application) shall be **01.04.2021.**

5. That in relation to the Transferor Company, it has been represented that the company has 7 Equity Shareholders and consent affidavits from all the shareholders have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the shareholders have been placed on record (@page 207-227 of the Application). It is further submitted that the Transferor Company has NIL Secured and 4 Unsecured Creditors, whose consent affidavits have been placed on record (@page 230-243 of the Application. In relation to the shareholders, secured and unsecured creditors, the Transferor Company seeks dispensation from convening and holding of their respective meetings, on the ground that all of them have given their consent affidavits in favour of the Scheme.

6. That in relation to the Transferee Company, it has been represented that the company has 9 Equity Shareholders and consent affidavits from all the shareholders have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the shareholders have been placed on record (@page 247-273 of the Application). It is further submitted that the Transferee Company has NIL Secured and 8 Unsecured Creditors whose consent affidavits have been placed on record (@page 276-301 of the Application. In relation to the shareholders, secured and unsecured creditors, the Transferee Company seeks dispensation from convening and holding of their respective meetings, on the ground that all of them have given their consent affidavits in favour of the Scheme.

7. We have heard the Ld. Counsel for the Applicant Companies and perused the averments made in the application and the connected documents filed along with the Scheme of Amalgamation contemplated between the Companies.

8. That the Transferor Company – VINCO METALS PRIVATE LIMITED was incorporated on 25.03.1988 in the state of Delhi under the provisions of Companies Act, 1956. The authorised share capital of the Company is Rs. 3,50,00,000/- divided into 35,00,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Company is Rs. 3,49,74,600/- divided into 34,97,460 equity shares of Rs. 10/- each fully paid up. (@page 12 of the Application)

9. That the Transferee Company – BON LON PRIVATE LIMITED was incorporated on 05.09.19888 in the state of Delhi under the provisions of Companies Act, 1956. The authorised share capital of the Company is Rs. 4,00,00,000/- divided into 4,00,000 equity shares of Rs. 100/- each. The issued, subscribed and paid-up share capital of the Company is 3,00,00,000/- divided into 3,00,000 equity shares of Rs. 100/- each fully paid up (@page 14 of the Application).

10. It is seen that the Board of Directors of all the Applicant Companies vide meetings held on 19.01.2022 have unanimously approved the proposed Scheme of Amalgamation. Copies of such resolutions passed have been placed on record (@page 198-201 of the Application).

11. That the Applicant Companies have filed the Audited Financial Statements for the financial year ended 31st March, 2021 (@page 59-106 and 138-163 of the Application).

12. That the Certificate of respective statutory auditors of the Applicant Companies have been placed on record confirming that the accounting

treatment in the scheme is in conformity with Section 133 of the Companies Act, 2013 (@page 307-310 of the Application).

13. No Objection Letter dated 12.04.2021 obtained from Reserve Bank of India has also been placed on record. (@page 202-203 of the Application

14. In sequel to the above, in our considered view, the Tribunal, in view of the settled law, is empowered to dispense with the meeting of shareholders if they have given their consent. Further, in view of Section 230(9) of the Companies Act, 2013, the Tribunal is empowered to dispense with calling of a meeting of creditors or class of creditors where such creditors or class of creditors, having at least ninety per cent value, agree and confirm, by way of affidavit, to the scheme of compromise or arrangement. Accordingly, the following directions are given: -

A. In relation to the Transferor Company:

i. With respect to Shareholders:

Since all the shareholders have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting of shareholders is dispensed with.

ii. With respect to Secured Creditors:

Since there is no Secured Creditor. Therefore, the necessity of convening and holding a meeting does not arise.

iii. With respect to Unsecured Creditors:

Since all the Unsecured Creditors have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting of Unsecured Creditors is dispensed with.

B. In relation to the Transferee Company:

i. With respect to Shareholders:

Since all the shareholders have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting is dispensed with.

ii. With respect to Secured Creditors:

Since there is no Secured Creditor. Therefore, the necessity of convening and holding a meeting does not arise.

iii. With respect to Unsecured Creditors:

Since all the Unsecured Creditors have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting is dispensed with.

15. **Accordingly, in terms of the above order, CA (CAA) 20 (ND) of 2022 is allowed.**

Sd/-

(HEMANT KUMAR SARANGI)
Member (T)

Sd/-

(ABNI RANJAN KUMAR SINHA)
Member (J)